3. Furniture was purchased for ₹ 1,00,000 on 1.7.2016. It is expected to last for 5 years. Estimated scrap at the end of five years is ₹ 10,000. Find out the rate of depreciation under straight line method.

(**Answer**: Amount of depreciation ₹ 18,000; Rate of depreciation 18%)

4. Calculate the rate of depreciation under straight line method from the following information:
Purchased a second hand machinery on 1.1.2018 for ₹ 38,000
On 1.1.2018 spent ₹12,000 on its repairs
Expected useful life of machine is 4 years
Estimated residual value ₹6,000

(**Answer**: Amount of depreciation ₹ 11,000; Rate of depreciation 22%)

5. Machinery was purchased on 1st January 2015 for ₹ 4,00,000. ₹ 15,000 was spent on its erection and ₹ 10,000 on its freight charges. Depreciation is charged at 10% per annum on straight line method. The books are closed on 31st March each year. Calculate the amount of depreciation on machinery for the first two years.

(**Answer**: Amount of depreciation on 31.03.2015: ₹ 10,625; on 31.03.2016: ₹ 42,500)

6. An asset is purchased on 1.1.2016 for ₹50,000. Depreciation is to be provided annually according to straight line method. The useful life of the asset is 10 years and its residual value is ₹ 10,000. Accounts are closed on 31st December every year. You are required to find out the rate of depreciation and give journal entries for first two years.

(**Answer**: Amount of depreciation ₹ 4,000, Rate of depreciation 8%)

7. From the following particulars, give journal entries for 2 years and prepare machinery account under straight line method of providing depreciation:
Machinery was purchased on 1.1.2016

| | |
|---|---|
| Price of the machine | ₹ 36,000 |
| Freight charges | ₹ 2,500 |
| Installation charges | ₹ 1,500 |

Life of the machine 5 years

(**Answer**: Amount of depreciation: ₹ 8,000; Balance in machinery A/c: ₹ 24,000)

8. A manufacturing company purchased on 1 April, 2010, a plant and machinery for ₹4,50,000 and spent ₹ 50,000 on its installation. After having used it for three years, it was sold for ₹ 3,85,000. Depreciation is to be provided every year at the rate of 15% per annum on the fixed instalment method. Accounts are closed on 31st March every year. Calculate profit or loss on sale of machinery.

(**Answer**: Profit on sale ₹ 1,10,000)

9. On 1st April 2008, Sudha and Company purchased machinery for ₹ 64,000. To instal the machinery expenses incurred was ₹ 28,000. Depreciate machinery 10% p.a. under straight line method. On 30th June, 2010 the worn out machinery was sold for ₹ 52,000. The books are closed on 31st December every year. Show machinery account.

(**Answer**: Loss on sale ₹ 19,300)



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